Before the
New York State Public Service Commission

In the Matter of

Consolidated Edison Company of New York, Inc.

Case 25-E-0072
Case 25-G-0073

May 2025

Prepared Direct Testimony of:

Michele Chait

On Behalf of:

The City of New York

INTRODUCTION

Q. PLEASE STATE YOUR NAME, OCCUPATION, AND BUSINESS ADDRESS.

A. My name is Michele Chait. I am an independent economic and regulatory consultant in the electricity sector. My business, Chait Analytics Corp., is located at 455 Pinewood Drive, San Rafael, California 94903.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. The City of New York.

Q. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND.

A. I hold an undergraduate degree in mathematics and Middle Eastern studies from University of California, Berkeley and a master's degree in Business Administration from the University of Chicago.

Q. PLEASE DESCRIBE YOUR PROFESSIONAL EXPERIENCE AND CURRENT RESPONSIBILITIES.

A. A summary of my experience is attached in Exhibit__(Chait-1).

Q. HAVE YOU EVER TESTIFIED BEFORE ANY AGENCY OR COURT OR IN ANY OTHER VENUE ON THE TOPICS YOU ADDRESS IN THIS TESTIMONY?

A. Yes. I submitted testimony in the Consolidated Edison Company of New York, Inc. ("Company" or "CECONY") electric, gas and steam rate cases

(Case 22-E-0064, Case 22-G-0065, and Case 22-S-0659), and in the Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid (Cases 23-G-0225 and 23-G-0226) and the United Illuminating Company (Case 24-10-04). I have also previously testified before the California Public Utilities Commission on rate design matters. In addition, I submitted testimony in FERC Docket No. ER25-198-000 regarding the appropriate base ROE for New York Power Authority and FERC Docket No. ER25-885-000 regarding the appropriate base ROE for New York Transco LLC.

PURPOSE OF TESTIMONY

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. My testimony addresses the following:

- Issues related to the Seasonal Rate Study submitted by the Demand Analysis and Cost of Service (DAC) Panel;
- Issues related to cost classification for electric service;
- Issues related to class revenue responsibility for electric and natural gas service;
- Issues related to rate design and bill impacts for electric service;
- Issues related to rate design and bill impacts for electric and natural gas service; and

- Deferral and reconciliation mechanisms for electric and natural gas service.

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. Yes. Exhibit__(Chait-1) is a summary of my experience and qualifications. Exhibit__(Chait-2) is a compilation of interrogatory responses I reviewed in preparing my testimony. Exhibit__(Chait-3) compares the Company's method of identifying electric service classifications requiring seasonal revenue adjustments to an alternative method of identifying such service classifications. Exhibit__(Chait-4) quantifies the high tension and low tension distribution cost share of Total System Operating Expenses and of Total System Rate Base. Exhibit__(Chait-5) quantifies the impact of excluding the income tax factor in surplus and deficiency amounts. Exhibit__(Chait-6) shows the SC13 surplus for the past four Embedded Cost-of-Service (ECOS) studies. Exhibit__(Chait-7) shows Table 1A values including and excluding SC13. Exhibit__(Chait-8) shows electric Table 1A values including and excluding the income tax factor and including SC13. Exhibit__(Chait-9) shows the Company-proposed surplus and deficiency amounts, expressed as a share of total operating revenues, for each natural gas service classification. Exhibit__(Chait-10) shows bill impacts for an alternate rate design for natural gas service SC3 Rate II.

Exhibit__(Chait-11) provides other data sources referenced in my testimony.

Q. WHAT INFORMATION DID YOU REVIEW IN PREPARING YOUR TESTIMONY?

A. I reviewed the following testimony and exhibits submitted by the Company:

- Electric Rates Panel
- Gas Rates Panel
- Demand Analysis and Cost of Service Panel
- Accounting Panel
- Customer Operations Panel
- Customer Energy Solutions Panel
- Clean Energy Transition Panel
- Electric Infrastructure and Operations Panel
- Exhibit___(DAC-2)
- Exhibit___(DAC-3)
- Exhibit AP-E3 Schedule 2
- Exhibit ___(GRP-3) Schedule 3
- DPS-28-680, DPS-28-684, DPS-48-1013, and Company excel workpapers provided in response to DPS-1-80 and DPS-48-1013.
- Certain sections of the Company's Electricity Tariff and the

Company's Tariff for PASNY Delivery Service; the Company's March 1, 2023 report related to SC1 Rate IV for Rate Year 3 of the Company's 2020-2022 rate plan; California Assembly Bill 205; and California Public Utilities Commission Decision 24-05-028.

Q. PLEASE SUMMARIZE YOUR CONCLUSIONS AND RECOMMENDATIONS.

My conclusions and recommendations are summarized as follows:

Electric Rate Filing

- The Company should be directed to employ an additional percentage increase metric to determine any service classification adjustment pursuant to the Seasonal Rate Study.
- The Company should be directed to provide transparent minimum system study results as part of future ECOS studies.
- For SC1 Rates IV and V and for Rider D customers, I do not oppose the Company's proposal to change to clock hour demand measurement from four 15-minute interval readings on a rolling basis.
- SC13 (Bulk Power – Housing Developments) should be included in Table 1A calculations set forth in the ECOS and Unbundled Cost Components (Exhibit __(DAC-2), Page 126).
- The 1.5 factor applied in the New York Power Authority, or NYPA,

Delivery Service Facilities Charge rate design calculations should be removed, and the corresponding adjustment to NYPA Rate I eliminated.

- Prior to extending coincident demand to all customers with multiple Advanced Metering Infrastructure, or AMI meters, the Company should be directed to demonstrate that coincident demand billing properly reflects the demand that the eligible customer imposes on the system.
- Before any determination is made on the Company's clock-hour demand proposal, evidence to support volatility reduction, billable demand reductions, and administrative cost impacts should be analyzed.
- For demand-based SC12 (Multiple Dwelling Space Heating) Rate I, the Company should be directed to propose rate structure alternatives to reduce the bills of high usage electric heating customers.
- For the energy-only offering for SC12 Rate I, the Company should propose an alternative rate structure that increases the customer charge relative to the Company's current proposal.
- Support the Company's proposals to retain its bill guarantee for SC1 (Residential and Religious) Rate IVand to eliminate participation

caps.

- In order to encourage participation of customers with heat pumps in the SC1 Rate IV option, the Company should be directed to propose alternative rate structures that more strongly support heat pump electrification economics. These may include reducing the length of the winter on-peak period and increasing the SC1 Rate IV customer charge above the cost-based figure for SC1 indicated in the ECOS study.
- In order to better coordinate rate structure changes supportive of electrification, the Company should be directed to perform a study to comprehensively evaluate electrification rate structure alternatives and recommendations. This study should include the feasibility of collecting rate rider charges that are incurred on a fixed cost basis via fixed monthly charges and income-graduated fixed charges to support a reduced energy burden for low-income customers.
- Recommend that the Company analyze rate structure alternatives supportive of curbside charging, and propose an alternate rate structure for curbside charging in its October 2025 filing. I also recommend that in this proceeding, the Commission requires Con Edison to analyze curbside charging rate alternatives and submit an

alternate curbside charging rate structure for Commission approval within 45 days after the date the Commission adopts a new rate plan for Con Edison, in the event the Company declined to address this matter in its October 2025 filing.

- Oppose the Company's proposals for upward reconciliation of New Business costs and support inclusion of New Business costs in the target electric net plant figure(s) for the rate period, subject to downward net plant reconciliation if actual electric net plant is below the target set in rates.
- While I support the goals and general concept of the Multifamily Affordable Electrification Pilot program, I oppose the Multifamily Affordable Electrification Pilot deferral mechanism as proposed. I recommend the addition of four guardrails specifying the term over which the bill credits will be issued, a cap on total bill credits under this pilot program, the term of the pilot program, and clarification regarding whether O&M costs are intended to be included in the deferral mechanism.
- Oppose creation of Sulfur Hexafluoride deferral mechanism.

Gas Rate Filing

- The revenue surplus for SC1 and SC2 Rate I and the revenue deficiency amount for SC2 Rate II should be eliminated over a

period of three years based on an adjustment of one-third. A longer period should be used for the new SC3 classes.

- Support the Company's proposal to limit the eligibility of Rider E to SC3 Rate I.
- For the SC3 Rate II class, in order to reduce bill impacts for low usage customers, the Company should be directed to reduce the monthly charge to $45 per month and increase the per therm volumetric rates.

Electric and Gas Filings

- Application of the income tax factor should be removed from revenue surplus and deficiency amounts in the 2023 electric and gas ECOS studies and in future electric and gas ECOS studies.
- Urge the Commission to heavily scrutinize the Company's existing deferral and reconciliation mechanisms to ensure that the mechanisms continue to be necessary in the 2026-2028 rate period.
- Support the continuation of the existing mechanism for recovery of interference capital amounts. However, if the Commission authorizes upward reconciliation of interference net plant, I recommend that interference net plant should be separately reconciled to the interference net plant target and that no surcharge should be implemented to recover any interference capital amounts.

- Oppose the Company's proposals to re-define the revenues or expenses that may be deferred, to record carrying charges on net plant related to New Laws, to align the "New Laws" accrual/deferral with its existing net plant mechanism, to record the incremental carrying charge on the net plant balance exceeding aggregate net plant targets due to the impact of new laws, and to implement surcharge recovery of the carrying charges.
- Support continuation of the existing O&M interference reconciliation mechanism.
- Oppose creation of New York City Revocable Consent Fees deferral mechanism.
- Oppose creation of Wildfire Response Costs deferral mechanism.
- Oppose creation of Management Audit Costs deferral mechanism.
- If any of the above proposed reconciliation and/or deferral mechanisms are authorized, I recommend that the Company's return on equity and equity share of capital structure be reduced to reflect reduced risk borne by the Company's shareholders.

SEASONAL RATE STUDY

Q. PLEASE DESCRIBE THE SEASONAL RATE STUDY PREPARED BY THE DAC PANEL.

A. The Joint Proposal adopted by the Commission in Cases 22-E-0064 and 22-

G-0065 required the Company to provide a Seasonal Rate Study based on its most recent ECOS study and demand analysis as part of future base rate case filings. The DAC Panel testifies that the Seasonal Rate Study is based on the 2023 Demand Analysis and ECOS Exhibits sponsored by the DAC Panel in this proceeding.

Q. HOW DID THE DAC PANEL DEVELOP CLASS-SPECIFIC SEASONAL DELIVERY COST RATIOS IN THE SEASONAL RATE STUDY?

A. The DAC Panel created class-specific seasonal delivery cost ratios by dividing monthly summer delivery costs by monthly winter delivery costs, where costs are determined by the 2023 ECOS study values. A seasonal delivery cost ratio greater than 1.0 indicates that monthly delivery costs in the summer season are greater than monthly delivery costs in the winter season; a seasonal delivery cost ratio less than 1.0 indicates that monthly delivery costs in the summer season are less than monthly delivery costs in the winter season. The class-specific seasonal delivery cost ratios are set forth in the penultimate row of Exhibit ___ (DAC-3) Page 1 of 2 and presented in line 1 of Exhibit__(Chait-3).

Q. HOW DID THE DAC PANEL DEVELOP CLASS-SPECIFIC SEASONAL DELIVERY REVENUE RATIOS IN THE SEASONAL RATES STUDY?

A. The DAC Panel created class-specific seasonal delivery revenue ratios by dividing monthly summer delivery revenues by monthly winter delivery revenues, where delivery revenues are based on 2023 customer usage priced at delivery rates that went into effect January 1, 2025. Class-specific delivery revenue ratios are found in the last row of Exhibit ___ (DAC-3) Page 1 of 2 and presented in line 2 of Exhibit__(Chait-3). A delivery revenue ratio greater than 1.0 indicates that monthly delivery revenues in summer season are greater than monthly delivery revenues in winter season; a delivery revenue ratio less than 1.0 indicates that monthly delivery revenues in summer season are less than monthly delivery revenues in winter season.

Q. HOW DOES THE COMPANY QUANTIFY THE DEGREE TO WHICH CLASS-SPECIFIC SEASONAL DELIVERY REVENUE RATIOS EXCEED CLASS-SPECIFIC SEASONAL DELIVERY COST RATIOS?

A. Results of the Seasonal Rate Study are listed in line 3 of Exhibit__(Chait-3). Line 3 equals line 2 *minus* line 1. A line 3 result of zero would indicate that the seasonal delivery cost ratio is equal to the seasonal delivery revenue ratio. A negative line 3 result indicates that the seasonal delivery revenue ratio is less than the seasonal delivery cost ratio; a positive result indicates that the seasonal delivery revenue ratio is greater than the seasonal delivery

cost ratio.

Q. DO YOU SUPPORT THIS METHODOLOGY?

A. These results are one way of measuring the degree to which class-specific seasonal delivery revenue ratios exceed class-specific seasonal delivery cost ratios. However, this methodology is not adequate when the seasonal delivery cost ratio is less than 1.0.

Q. DOES THE COMPANY PROPOSE ANY ADJUSTMENTS BASED ON THE RESULTS OF THE SEASONAL RATE STUDY?

A. Yes. Line 3 results are greater than 1.0 for service classifications 8 TOD and 9 TOD indicating that the ratio of seasonal delivery revenues is materially above the ratio of seasonal delivery costs for these classes. To better align delivery revenues with delivery costs, the Company proposes to shift 10% of the difference between summer and winter delivery revenue for SC8 TOD and SC9 TOD into the winter delivery revenue targets for each of these classes, respectively, to gradually reduce summer season delivery revenues.

Q. DO YOU AGREE WITH THE COMPANY'S EVALUATION OF THE SEASONAL RATE STUDY RESULTS?

A. No, not fully. I recommend that instead of solely evaluating the difference in ratio results per line 3, the Company should also evaluate the ratio of the seasonal ratio results, which for each class is equal to the seasonal delivery

revenue ratio in line 2 divided by the seasonal delivery cost ratio in line 1. These results are shown in line 4 of Exhibit__(Chait-3). This approach better indicates whether certain seasonal delivery revenues should be adjusted when the seasonal delivery cost ratio is less than 1.0; that is, when winter costs exceed summer costs.

Q. HOW SHOULD RESULTS IN LINE 4 BE INTERPRETED?

A. Results in line 4 quantify the percentage difference in the seasonal delivery revenue ratio relative to the seasonal delivery cost ratio. For example, for the SC12 rate schedule, the seasonal delivery cost ratio is 0.77 which indicates that monthly winter delivery costs are higher than monthly summer delivery costs. The revenue ratio is 1.19 which indicates that monthly summer delivery revenue is higher than monthly winter delivery revenue. The result in line 4 is 1.55, indicating that the monthly delivery revenue ratio is 55% larger than the monthly delivery cost ratio. In contrast, the Company's analysis indicated a line 3 difference of 0.42 and recommended that this class not be adjusted.

Q. DO YOU HAVE RECOMMENDATIONS REGARDING HOW THE RESULTS IN LINE 4 CAN BE UTILIZED?

A. Yes. The results in line 4 of Table 1 should be used in conjunction with the Company's methodology in line 3 to better identify which service classifications should be adjusted. I recommend that service classifications

with a line 4 result greater than 1.5 should be adjusted. The result of my recommendation is that in addition to SC8 TOD and SC9 TOD as the Company recommends, summer and winter revenues for SC5 TOD, SC12, and SC12 TOD would also be adjusted to better reflect seasonal delivery costs.

ELECTRIC COST CLASSIFICATION

Q. DID THE COMPANY PERFORM A MINIMUM SYSTEM STUDY TO CLASSIFY DISTRIBUTION COSTS IN ACCOUNTS 364-368 AS CUSTOMER- OR DEMAND-DRIVEN?

A. The Company does not appear to have performed a formal minimum system study. Instead, it states that certain costs have been classified into demand and customer components using a minimum system concept.

Q. WHICH DISTRIBUTION COSTS ARE IMPACTED BY THIS CLASSIFICATION METHODOLOGY?

A. PSC Account 364 (Poles, Towers and Fixtures) is listed on page 20 of 130. PSC Account 365 (Overhead Conductors), PSC Account 366 (Underground Conduit), and PSC Account 367 (Underground Conductors) are listed on page 21 of 130. PSC Account 368 (Line Transformers) is listed on pages 21-22 of 130.

Q. WHAT IS THE MAGNITUDE OF THESE COSTS?

A. Exhibit__(Chait-4), based on my analysis of Exhibit __(DAC-2) Page 90 of

130 Table 3, Page 17, indicates that these high tension and low tension distribution cost categories comprise 52% of Total System Operating Expenses. Based on analysis of Exhibit __(DAC-2) Page 70 of 130 Table 2, Page 33, Exhibit__(Chait-4) also indicates that these cost categories comprise nearly 57% of Total System Rate Base.

Q. DID THE SHARE OF COSTS CLASSIFIED AS CUSTOMER-DRIVEN CHANGE SINCE THE PRIOR ECOS STUDY CONDUCTED IN 2019?

A. Yes. For example, as shown in Exhibit__(Chait-4), analysis of 2019 ECOS Exhibit __(DAC-2) Page 89 of 129 Table 3. Page 17 line 21 indicates that in the 2019 ECOS 57% of Total Operating Expenses for U.G. Lines were classified to demand. Analysis of the 2023 ECOS Exhibit __(DAC-2) Page 90 of 130 Table 3 Page 17 line 21 indicates this share had dropped to 53% in 2023. Similarly, 57% of Total Rate Base U.G. Line costs were classified as demand driven in 2019 and 53% of these costs were classified as demand driven in 2023. The Company did not indicate what drove these cost classification changes.

Q. WHAT ARE YOUR CONCERNS?

A. The classification of costs into demand and customer components will become increasingly important in the economics of electrification. For example, an increase in the share of costs classified as customer driven will

support higher cost-based customer charges. It will therefore be critical to have transparent cost classification results to support electrification rate design efforts.

Q. WHAT IS YOUR RECOMMENDATION?

A. I recommend that the Company be directed to provide transparent minimum system study results as part of future ECOS studies.

ELECTRIC SERVICE CLASS REVENUE RESPONSIBILITY

Q, HOW DOES THE COMPANY ALLOCATE THE REVENUE REQUIREMENT TO CUSTOMER SERVICE CLASSES FOR ELECTRIC RATE DESIGN?

A. In its testimony and rate filing generally, the Company relies primarily on 2025 rates (Rate Year 3 delivery rates from the 2023-2025 rate plan) and the 2023 ECOS Study to allocate revenue increases to customer classes. However, there are several deviations. First, the Company employs tolerance bands of +/- 10% to limit the revenue adjustments for certain customer classes. Moreover, the Company's use of an income tax factor inappropriately increases the revenue surplus and deficiency amounts in the ECOS Study. Lastly, the Company erroneously excludes the SC13 surplus when re-allocating deficiency amounts in Exhibit ___ (DAC-2) Table 1A.

Q. HOW IS THE TOLERANCE BAND CALCULATED?

A. Determination of the tolerance band involves five steps. First, total

operating revenues are calculated for each class per the product of 2023 ECOS billing determinants and current 2025 rates (Rate Year 3 delivery rates from the 2022-2025 rate plan). Second, utility operating income is calculated per total operating revenues minus 2023 ECOS operating expenses. Third, the class-specific and total system rates of return are calculated per total utility operating income divided by rate base. Fourth, +/- 10% rate of return values are applied to the system rate of return to produce the tolerance band percentage values. Fifth, for each class, the product of the system +/- 10% rate of return percentage values with the rate base allocation for each customer class produces the tolerance band values for each class in dollars.

Q. HOW IS THE TOLERANCE BAND UTILIZED?

Page 18 of the DAC Panel testimony states that "[c]lasses would not be considered 'surplus' or 'deficient' if the class ECOS rate of return falls within this tolerance band. Classes that fall outside this range would be either surplus or deficient by the revenue amount, including appropriate state and federal income taxes, necessary to bring the realized return to the upper or lower limit of the band." The +10% or "upper" tolerance band used by the Company is 11.78%, or 1.10 times 10.71%. The "lower" tolerance band is 9.64%, or (1 minus 10%) times 10.71%. Classes that produce a rate of return greater than the 11.78% upper band are deemed to

generate a revenue surplus. Classes that produce a rate of return system less than 9.64% lower band are deemed to generate a revenue deficiency.

Q. IN THE ECOS CALCULATION OF SURPLUS AND DEFICIENCY AMOUNTS, WHAT ADJUSTMENT IS MADE FOR STATE AND FEDERAL INCOME TAXES?

A. The state income tax rate is 6.5% and the federal income tax rate is 21.0%. Because state income tax is deductible for federal income tax purposes, the combined income tax rate is therefore 26.14% (= 21% * (1-6.5%) + 6.5%). The tax adjustment is implemented by multiplying initial surplus and deficiency amounts by an income tax factor equal to 1.3538, or 1 *divided by* (1 *minus* 26.14%).

Q. IS IT APPROPRIATE TO APPLY THIS INCOME TAX FACTOR TO UTILITY OPERATING INCOME AMOUNTS UTILIZED IN THE DETERMINATION OF REVENUE SURPLUS AND DEFICIENCY VALUES?

A. No. This is because Total Operating Revenues already include appropriate adjustments for income taxes.

Q. PLEASE DESCRIBE HOW THIS IS ACCOMPLISHED.

A. Exhibit AP-E3 Schedule 2 Page 2 of 2 shows Operating Revenues, Operating Expenses, Operating Income, Income Taxes and Rate of Return for the twelve months ending September 30, 2024, and for RY1 of the

instant case. The "As Updated" column of the Operating Income row in this exhibit shows Operating Income, net of income tax amounts, of $1,315,850 ($000s).

Q. IS THIS FIGURE USED IN THE CALCULATION OF THE RY1 REVENUE REQUIREMENT?

A. Yes. This figure is shown in the RY1 column of Exhibit AP-E3 Schedule 2 Page 1 of 2. This schedule calculates the incremental revenue requirement for RY1 necessary to produce the Company's proposed 7.32% return. In this schedule, $1,315,850 ($000s) is subtracted from the required return amount of $2,470,407 ($000s) to yield the deficiency amount of $1,154,557 ($000s).

Q. HOW IS THE INCREMENTAL RY1 REVENUE REQUIREMENT PRODUCED FROM THIS DEFICIENCY AMOUNT?

A. The $1,154,557 ($000s) deficiency amount is divided by a retention factor of 71.64%. This factor ensures that the deficiency amount remains after the Company has paid income taxes and adjusted for other items such as revenue taxes and uncollectibles. The incremental revenue requirement needed is $1.612 billion.

Q. DID THE ACCOUNTING PANEL DEMONSTRATE THAT ITS PROPOSED 7.32% RATE OF RETURN IS ACHIEVED ?

A. Yes. The Rate of Return line in the "Rate Year as Adjusted for Proposed

Rate Increase" column of Exhibit AP-E3 Schedule 2 Page 2 of 2 shows the 7.32% rate of return is achieved once the rate increase of $1.612 billion has been included in revenues.

Q. DOES THIS EXAMPLE DEMONSTRATE THAT AN INCOME TAX FACTOR SHOULD NOT BE APPLIED TO SURPLUS AND DEFICIENCY AMOUNTS?

A. Yes. Exhibit AP-E3 Schedule 2 Pages 1 and 2 shows that operating revenues include appropriate income tax adjustments. Applying the income tax factor again to surplus and deficiency amounts would erroneously overstate these amounts.

Q. ARE CLASSES THAT ARE INSIDE THE TOLERANCE BAND ASSESSED THE INCOME TAX FACTOR?

A. No, they are not. The income tax factor is only applied to surplus and deficiency amounts which do not arise if class rates of return are within the tolerance band.

Q. WHAT RATIONALE DOES THE COMPANY PROVIDE FOR APPLYING THE INCOME TAX FACTOR ONLY TO SURPLUS AND DEFICIENCY AMOUNTS?

A. The Company does not provide a rationale in its DAC Testimony. However, if it were necessary to apply an income tax factor, which I do not support, it should be applied to operating income regardless of whether a

customer class is surplus or deficient: the income tax code does not differentiate taxation by utility tolerance bands. Furthermore, if the Company did not account for income taxes appropriately in its January 2025 retail rates, this proceeding would not be the appropriate venue to attempt to make such adjustments.

Q. HOW DOES ERRONEOUSLY APPLYING THE INCOME TAX FACTOR IMPACT REVENUE SURPLUS AND DEFICIENCY AMOUNTS?

A. Columns (1) and (2) in Exhibit__(Chait-5) show revenue surplus and deficiency amounts, respectively, by class, before application of the income tax factor. Columns (3) and (4) in this exhibit show revenue surplus and deficiency amounts by class after application of the income tax factor. Row (1) of Column (5) shows that application of the income tax factor leads to a $7.4 million over-estimation of the revenue surplus. Row (1) of Column (6) shows that that application of the income tax factor leads to a $12.5 million over-estimation of the revenue deficiency.

Critically, mis-application of the income tax factor also has significant impacts on a class basis. For example, the NYPA revenue deficiency in row 27 of the Surplus and Deficiency Exhibit (row 3 above) is $34,774,605 but should be $25,686,262 after removing the income tax factor – a difference of approximately $9.1 million.

Q. WHAT DO YOU RECOMMEND?

A. Because the inclusion of the income tax factor inappropriately increases both revenue surplus and deficiency amounts, I recommend that the income tax factor be removed from the calculation of revenue surplus and deficiency amounts in the 2023 ECOS and in future ECOS studies.

Q. WHAT IS THE COMPANY'S AUTHORIZED RETURN IN 2023?

A. Exhibit ___ (DAC-2) Table 1 Column (1) Line 15 shows 2023 Utility Rate Base equals $26.7 billion. The Accounting Panel states on page 104 that the Company's authorized weighted average cost of capital at the end of the Historic Year (30 September 2024) was 6.79% for both electric and gas. The Company's 2023 authorized return is the product of Utility Rate Base and 6.79%, or $1.8 billion.

Q. HOW DOES THE COMPANY'S 2023 RETURN COMPARE TO TOTAL SYSTEM UTILITY OPERATING INCOME?

A. Column 1 Line 13 of Table 1 shows 2023 Total System Utility Operating income is $2.9 billion. The Company's 2023 authorized return is $1.8 billion, or $1.1 billion less.

Q. WHAT ACCOUNTS FOR THIS $1.1 BILLION DIFFERENCE?

A. Virtually all of the $1.1 billion difference can be explained by the difference in Allowed Pure Base Revenue in 2025 versus Allowed Pure Base Revenue in 2023. The Company's electric tariff leaf 351, revision 21 includes the

table below issued in compliance with Order in Case 22-E-0064 dated March 19, 2024. This table indicates that Allowed Pure Base Revenue in 2023 equals approximately $5.6 billion, which is the sum of values in the Jan–Jul 2023 and Aug–Dec 2023 columns. Allowed Pure Base revenue for 2025 is approximately $6.8 billion. The difference in these values is $1.2 billion.

SC	Jan. - Dec. 2022	Jan. – Jul 2023	Aug – Dec. 2023	Jan. – Dec. 2024	Jan. – Dec. 2025**
1	$2,347,535	$1,310,010	$1,182,176	$2,875,147	$3,116,197
2 and 6	$510,989	$296,554	$236,016	$610,997	$670,547
5 and 9	$2,320,689	$1,269,641	$1,073,041	$2,558,787	$2,754,512
8 and 13***	$171,813	$91,634	$88,300	$202,773	$220,175
12	$27,163	$16,721	$10,508	$29,235	$31,884

Q. IS THE 10.71% SYSTEM AVERAGE RATE OF RETURN RESULT IN TABLE 1 LINE 17 COLUMN (1) IN EXHIBIT___(DAC-2) PAGE 34 EQUIVALENT TO THE COMPANY'S AUTHORIZED WEIGHTED AVERAGE COST OF CAPITAL?

A. No. The "rate of return" in Table 1 is Utility Operating Income divided by the 2023 ECOS rate base. As Utility Operating Income is the difference between 2025 rate revenues per 2023 ECOS billing determinants and 2023 ECOS operating expenses, this difference is not limited to return.

Q. WHAT ARE THE IMPLICATIONS IF THE 10.71% SYSTEM RATE OF RETURN WERE INTERPRETED AS THE COMPANY'S

AUTHORIZED RETURN?

A. Accounting Panel Testimony page 104 lines 3-5 states that the Company's authorized weighted average cost of capital at the end of the Historic Year (30 September 2024) was 6.79% for both electric and gas. If the 10.71% system rate of return were viewed as the Company's authorized return it would need to be reduced. Otherwise, in absence of such an adjustment, the Company would be over-earning relative to what has been authorized.

Q. ARE THERE OTHER ISSUES THAT IMPACT REVENUE RESPONSIBILITY?

A. Yes. The Company proposes to exclude the SC13 surplus from the calculations carried out in Exhibit ___ (DAC-2) Table 1A.

Q. WHAT IS THE PURPOSE OF TABLE 1A?

A. DAC Testimony pages 19 to 20 states that due to the application of the 10% tolerance band, the total of the ECOS surpluses and deficiencies is a net system deficiency of $9.546 million. Lines 3 through 10 on page 20 state that to offset the net system deficiency, Table 1A allocates this deficiency to classes with a return greater than the 10.71% system average based on their respective non-competitive delivery revenues. This approach adjusts classes with rates of return higher than the system average to move toward eliminating subsidies in future ECOS studies.

Q. HOW ARE THE ADJUSTED SURPLUS/DEFICIENCY AMOUNTS

IN TABLE 1A USED IN RE-ALIGNING REVENUES?

A. The final surplus and deficiency amounts, including the net deficiency allocation, are used to realign T&D delivery revenues. The Electric Rates Panel states on page 11 that in order to mitigate bill impacts for deficient classes, the Company proposes to realign revenues in the Rate Year based on one-third of the Table 1A revenue adjustments and intends to incorporate the remaining two-thirds in subsequent years. The Electric Rates Panel states on page 13 that the Table 1A revenue adjustments are added to the T&D delivery revenue increase.

Q PLEASE DECRIBE THE TREATMENT OF SC13 IN TABLE 1A.

A. Exhibit __ (DAC-2) Page 37 of 130 Table 1, Page 1 line 26 Column (15) shows a revenue surplus for SC13 of $2.1 million. However, the Company did not apply this revenue surplus in Table 1A. By not applying this surplus, the Company over-states revenue reductions for other classes with rates of return above the system average.

Q. WHAT RATIONALE DID THE COMPANY PROVIDE FOR EXCLUDING SC13?

A. DAC Testimony page 20 lines 14-17 states that SC13 has only one account, a large residential housing complex that operates its own generator and that its use of the electric system is erratic. Page 20 line 21 through page 21 line 2 states that the Company believes that recognizing the $2.1 million surplus

could create rate instability and does not allow for proper cost assignment to a customer whose potential use of the Company's distribution system remains unchanged.

Q. DO YOU AGREE THAT SC13 REVENUE IS ERRATIC?

A. No. Analysis of the past four ECOS studies indicates that SC13 has consistently produced a surplus of between $1.2 and $2.2 million. These findings are displayed in Exhibit__(Chait-6).

Q. WHAT IS THE IMPACT OF EXCLUDING SC13?

A. The net deficiency amount of $9.546 million is the last value in the Initial Surplus/Deficiency column in Table 1A. Including the surplus produced by SC13 would reduce this figure to $7.446 million (= $9.546 million *minus* $2.1 million). If the SC13 surplus is not incorporated in the net deficiency, SC13 will be funding a surplus adjustment for service classifications with returns greater than the system average. This result is shown column (5) in Exhibit__(Chait-7).

Q. ARE THESE VALUES ALSO IMPACTED BY THE INCOME TAX FACTOR ISSUE IDENTIFIED ABOVE?

A. Yes. Column (1) in Exhibit__(Chait-8) shows the adjusted surplus/(deficiency) as proposed by the Company. Column (2) shows the adjusted surplus/(deficiency) excluding the income tax factor and including SC13. Column (3) shows the difference equal to column (1) minus column

(2). The largest changes are in column (3) line (3) which shows that the NYPA deficiency would be approximately $9.1 million lower, column (3) line (11) which shows that the SC9 NTD surplus would be reduced by approximately $9.4 million, and column (3) line (13) which shows that the SC13 surplus would be reduced by approximately $1.6 million. As proposed by the Company, one-third of these amounts would be implemented in RY1.

Q. DO YOU RECOMMEND THAT SC13 BE INCLUDED IN TABLE 1A CALCULATIONS?

A. Yes. Inclusion of SC13 in Table 1A calculations is necessary to properly reflect revenue surplus and deficiency amounts and appropriately allocate the approved revenue requirement to all service classifications.

ELECTRIC RATE DESIGN AND BILL IMPACTS

Q. DO YOU HAVE ANY CONCERNS REGARDING THE COMPANY'S PROPOSALS TO MAKE CHANGES TO CERTAIN RATES?

A. Yes. I am concerned with the following: (A) the Company's proposal to modify the allocation of costs to the NYPA Facilities Charge; (B) the Company's proposal to extend coincident demand billing to all customers with multiple AMI meters; (C) the Company's proposal to modify the manner in which demand for SC1 Rates IV and V and for Rider D customers

is measured; (D) the Company's proposed rate design changes to SC12 Rate I; (E) potential enhancements that the Company could make to SC1 Rate IV; (F) potential enhancements that the Company could make to certain of its rate riders; and (G) rate structures that can better support Level 2 curbside electric vehicle charging.

A. NYPA Facilities Charge

Q. WHAT IS THE NYPA FACILITIES CHARGE?

A. Pursuant to the Company's Tariff for PASNY Delivery Service, the Facilities Charge is a fixed monthly charge "for delivery service for public street lighting in The City of New York . . . for each point of service termination . . . where the Company's electrical system is connected to the City's lighting unit or to a lighting circuit owned by the City." (Tariff PSC No. 12, Leaf No. 5, Revision 18.)

Q. WHAT IS THE CURRENT NYPA FACILITIES CHARGE?

A. The current charge is $18.06 per month. (Tariff PSC No. 12, Leaf No. 5, Revision 18.)

Q. DOES THE COMPANY PROPOSE TO INCREASE THE NYPA FACILITIES CHARGES?

A. Yes. The Electric Rates Panel states on page 39 that the "the facilities charge applicable to New York City street lights was increased to better reflect costs of facilities associated with service to street lights."

Q. WHAT IS THE PROPOSED NYPA FACILITIES CHARGE?

A. The Company proposed to increase the NYPA Facilities Charge to $23.74 per month. This is an increase of approximately 31.5%.

Q. HOW DOES THE COMPANY DEVELOP THE PROPOSED INCREASE TO THE FACILITIES CHARGE?

A. Cell I211 in the 11F.)Demand_RateDesign_NYPA_I tab of Excel file named "DPS_1_80_Supp1_4_Rates_RateDesign(RY1)" provided in response to DPS-1-80 contains a factor of 1.5 that is applied to the 20.95% rate increase. This yields the 31.5% increase in the Facilities Charge relative to current rates and increases projected RY1 Facilities Charge revenues by $4.9 million. The 1.5 factor is a hard coded input value.

Q. DOES THE COMPANY MAINTAIN REVENUE NEUTRALITY?

A. Yes. As summarized in cells BP80 and BP82 in the excel file DPS_1_80 Supp1_3_Cal_RateDesign)RY1 on the tab 6A.)RateChange provided in response to DPS-1-80, NYPA Rate I revenue is reduced by $4.9 million to maintain revenue neutrality.

Q. DOES THE COMPANY PROVIDE ANY EVIDENCE TO SUPPORT THE INCREASE IN THE NYPA FACILITIES CHARGE?

A. No. The Company has provided no evidence to support the increase in the Facilities Charge. Other than the conclusory statements of the Electric Rates Panel, the Company has provided no cost basis for shifting $4.9

million from NYPA Rate 1 into the NYPA Facilities Charge.

Q. WHAT IS YOUR RECOMMENDATION REGARDING THE COMPANY'S FACILITIES CHARGE PROPOSAL?

A. Given that no evidence has been provided demonstrating a change in the cost of facilities associated with New York City street lights, the 1.5 factor and the corresponding adjustment to Rate 1 should be eliminated.

B. <u>Coincident Demand Billing</u>

Q. WHAT IS THE COMPANY'S PROPOSAL WITH RESPECT TO COINCIDENT DEMAND BILLING FOR CUSTOMERS WITH MULTIPLE AMI METERS?

A. The Company proposes to extend coincident demand billing to all customers with multiple AMI meters. This eliminates the current restriction to customers on the Reactive Power Program at or above 500 kW of demand.

Q. WHAT CUSTOMERS DOES THIS CHANGE IMPACT?

A. According to page 28 of the Electric Rates Panel's pre-filed direct testimony, the proposed extension of coincident demand billing impacts certain customers in service classifications 8, 9, and 12, as well as NYPA customers. The Company also reports that approximately 800 customers would be eligible for this demand billing treatment.

Q. HOW ARE THESE CUSTOMERS CURRENTLY BILLED FOR

DEMAND?

A. The Company's Customer Operations Panel states on page 89 of its pre-filed direct testimony that these customers are currently billed for demand on an additive demand basis. Additive demand is the sum of the peak demand on each meter, irrespective of when the customer's aggregate peak demand reading occurs. Under the Company's proposal, these customers would be billed for demand on a coincident demand basis. Coincident demand is the highest integrated demand registered in each billing period on all the meters on the customer's account during the same 30-minute period.

Q. DID THE COMPANY UPDATE RATES TO MAINTAIN REVENUE NEUTRALITY AFTER ACCOUNTING FOR THE REDUCED DEMAND OF THESE APPROXIMATELY 800 CUSTOMERS?

A. Yes. The Electric Rates Panel states on page 28 that demand rates for the impacted customer classes were updated on a revenue neutral basis to reflect the change in demand measurement.

Q. WHAT IS THE IMPACT ON CUSTOMERS SWITCHED TO COINCIDENT DEMAND BILLING?

A. The extension of coincident demand billing is expected to lower billing for customers billed on this basis. The Company's Customer Operations Panel explains that coincident demand is always equal to or less than additive

demand. If each meter point peaks at the same time, then additive and coincident demand can be the same, but if the meter points have staggered peaks, then additive demand can be significantly higher than coincident demand.

Q. WHAT IS THE IMPACT OF COINCIDENT DEMAND BILLING FOR NON-PARTICIPANTS?

A. The reduced revenues from participating customers are borne by non-participants therefore rates for non-participants would increase.

Q. DO YOU SUPPORT THE PROPOSAL TO EXTEND COINCIDENT DEMAND BILLING?

A. A customer's electric bill should reflect the costs the customer imposes on the system. I support coincident demand billing in cases where this demand billing measurement properly reflects the demand the customer imposes on the system. For example, it is a common billing treatment for electrified rail and could be justified if accounts with multiple meters are located on adjacent properties. I do not support coincident demand billing if it does not reflect the demand a customer imposes on the system. This could occur if the customer with multiple AMI meters has locations on different feeders.

Q. WHAT IS YOUR RECOMMENDATION?

A. I recommend that prior to implementing this proposal, the Company ensures that for each potential participant, coincident demand billing properly

reflects the demand that the eligible customer imposes on the system. This could be accomplished via screening criteria similar to those contained in the Company's Rider B – Conjunctional Billing (PSC No. 10 Tariff, Leaf 179, Revision 1) such as verification that the customer's premises are contiguous or connected by the customer's own distribution system.

C. Demand Measurement Proposals

Q. IS THE COMPANY PROPOSING ANY CHANGES TO ITS DEMAND MEASUREMENT METHODOLOGIES?

A. Yes. The Company proposes to change demand measurement for SC1 Rates IV and V to the sum of four 15-minute clock hour readings from a rolling basis based on four 15-minute interval readings.

Q. HOW IS SC1 RATE IV DEMAND CURRENTLY MEASURED?

A. Pursuant to the Company's PSC No. 10 Tariff, Leaf 389.3 Revision 1, "for each day in a billing cycle, the maximum daily demand shall be calculated for each time period applicable to that day. The Billable Demands shall be determined by calculating the average of the three highest maximum daily demands occurring in each time period for the applicable billing period," where maximum daily demand values are established for each time period by calculating the highest integrated 60-minute demand ending in each day.

Q. HOW IS SC1 RATE V DEMAND CURRENTLY MEASURED?

A. Pursuant to the Company's PSC No. 10 Tariff, Leaf 84 Revision 1 states that maximum as-used daily demand values, where applicable, shall be determined by calculating the highest integrated 60-minute demand ending in each day and being entirely comprised of intervals ending in the same time period. Such Customer's monthly maximum demand shall be determined by calculating the highest integrated 60-minute demand during the billing period in which such use is made.

Q. WHY IS THE COMPANY PROPOSING THIS CHANGE?

A. The Electric Rates Panel states that this proposal is expected to improve the understandability of demand-based rates both for customers and other stakeholders, improve customer response to demand structures, and reduce the volatility of demand measurements.

Q. DO YOU SUPPORT THE PROPOSAL TO CHANGE DEMAND MEASUREMENT TO THE SUM OF FOUR 15-MINUTE CLOCK HOUR READINGS FOR THESE CUSTOMERS?

A. I do not oppose it. I agree that this change will likely improve understanding of the rate for customers and other and stakeholders (*e.g.*, contractors or developers) and that it could possibly improve customer response to the rate structure. It may also better align with the requirement that the highest integrated 60-minute demand occur during the relevant time period.

Q. DO YOU HAVE ANY CONCERNS WITH COMPANY'S

PROPOSAL?

A. Yes, I have three. First, the Company did not provide evidence that the proposed demand measurement method will reduce volatility in demand measurements. Second, in its response to DPS-28-684 requesting information regarding whether the Company identified any potential issues that can negatively impact applicable customers with the Company proposed change to a clock hour basis, the Company asserts that that billable demand "will be lower when calculated on a clock-hour basis than on a rolling basis." However, the excel file "DPS_48_1013 Att2 SC1R4 Bill Impacts" provided in response to DPS-48-1013 estimates annual SC1 Rate IV bill increases for 177 customers and annual SC1 Rate IV bill decreases for 119 customers, which implies that billable demand is not uniformly lower. Third, the Company also fails to provide information on the cost impact of its proposed measurement method, whether this change could potentially lower the costs associated with managing and storing billing data, and how any potential cost savings can be incorporated in proposed rates.

Q. WHAT DO YOU RECOMMEND?

A. I recommend that the Company be directed to provide evidence of any clock-hour demand volatility reduction, and any administrative cost impacts before a decision is made on this proposal. A determination on this proposal

is premature given the lack of supporting analysis from the Company.

D. Proposed SC12 Rate I Changes

Q. WHAT NEW YORK REGULATIONS SUPPORT EMISSIONS REDUCTIONS?

A. The Clean Energy Transition, or CET Panel testimony pages 18 through 91 lists several regulations. These include the Community Leadership And Climate Protection Act, or CLCPA, which establishes statewide emissions reduction targets, low- and zero-emissions vehicle standards, and a goal that all passenger vehicles and trucks sold in the state be zero emissions by 2035.

Q. HOW IS THE COMPANY SUPPORTING THESE GOALS?

A. Among the actions the Company is taking to support New York climate laws, CET Testimony page 25 lists Company strategies to drive growth in building electrification and to facilitate transportation electrification.

Q. WHAT ELECTRIC RATE SCHEDULES ARE AVAILABLE TO CUSTOMERS WITH ELECTRIC HEATING?

A. Customers with electric heating can take service on SC12 Rate I, SC12 Rate II, or SC1 Rate IV.

Q. WHAT CUSTOMERS ARE ELIGIBLE TO TAKE SERVICE ON SC12?

A. The SC12 rate schedule is applicable to residential tenants of multi-unit dwellings in which all space heating requirements of the residential tenants

are supplied by electricity.

Q. HOW IS SC12 CURRENTLY STRUCTURED?

A. SC12 Rate I has two options. The first option, the SC12 Rate I Energy and Demand Option, is a rate structure with a customer charge, a flat energy charge, and demand charges differentiated by season and tension and is found in PSC No. 10, Leaf 479, Revision 19. The second option, the SC12 Rate I Energy Only Option, is applicable to customers billed on an energy-only basis and features a seasonal declining block design with a fixed fee for usage up to 10 kWh and is found in PSC No. 10, Leaf 480, Revision 18.

Q. WHAT DOES THE COMPANY PROPOSE REGARDING THE SC12 RATE I ENERGY AND DEMAND OPTION?

A. For Rate I of SCs 5, 8, 9 and SC12 Energy and Demand Option, the Company's Electric Rates Panel proposes to shift into demand revenue a 7% share of revenue currently collected via the energy charge.

Q. WHAT RATE STRUCTURES GENERALLY SUPPORT LOWER BILLS FOR ALL-ELECTRIC HEATING CUSTOMERS?

A. Generally, customers with electric heating will benefit from a rate structure with relatively less revenue collected via energy charges and relatively more revenue collected via a fixed charge and/or demand charges. An example of this is the SC1 Rate IV structure. Additionally, such customers will benefit from seasonal differentiation with higher rates in summer season

and lower rates in winter season because heat pumps utilize more electricity in the winter season. Winter season energy rates may also be declining block structures to further support lower bills for higher usage customers.

Q. DO YOU SUPPORT THE COMPANY'S PROPOSAL FOR THE SC12 RATE I ENERGY AND DEMAND OPTION?

A. I do not oppose the proposed rate structure. Shifting a share of energy revenue into demand revenue would be expected to result in lower bills for higher usage electric heating customers. This relationship is shown in the bill impact tables on tab B23_SC12 Tables(Rate I) in excel workbook DPS_1_80_1_ERP_2 Schedule 5 Exhibit WP provided in response to DPS-1-80 which presents bill impacts which decline slightly as usage increases. At this time, it is not clear how the residual energy rate compares to marginal cost as the marginal cost study has not yet been conducted.

Q. ARE THERE ANY CHANGES THAT COULD IMPROVE THE ECONOMICS OF THE SC12 RATE I ENERGY AND DEMAND RATE STRUCTURE FOR HIGHER USAGE ELECTRIC HEATING CUSTOMERS?

A. Yes. Exhibit___(DAC-2) Page 117 of 130 Table 6 Page 4 shows that the monthly customer costs for SC12 NTD are estimated to be $419.48. This indicates that the proposed customer charge of $44 per month could be increased. It is also possible that alternative rate structures could be

designed to be more beneficial for high usage electric heat customers. Such structures could examine shifting the 7% share of energy revenue into the customer charge rather than the demand charge and also examine shifting a share of demand charge revenue into the customer charge. These changes would lead to lower volumetric rates and therefore lower bills for customers with high electric heating usage.

Q. WHAT ARE YOUR RECOMMENDATIONS?

A. I recommend that the Company be directed to study rate structure alternatives such as those described above that can achieve lower volumetric rates for the demand-based SC12 Rate I Demand and Energy Option, with the objective of reducing bills for high usage electric heating customers. This could occur in the context of a broader study that also examines electric rates for the SC12 Rate I Energy Only Option and SC1 Rate IV, as well as supportive changes for low-income customers and rate rider structures, as discussed below.

Q. WHAT CHANGES DOES THE COMPANY PROPOSE TO MAKE TO THE SC12 RATE I ENERGY ONLY OPTION?

A. The Electric Rates Panel proposes (1) the creation of a customer charge, (2) elimination of the minimum energy charges applicable to the first 10 kWh, and (3) changing energy rates to a flat, seasonally differentiated structure.

Q. DO YOU SUPPORT THE PROPOSED ADDITION OF A

CUSTOMER CHARGE FOR THE SC12 RATE I ENERGY ONLY OPTION?

A. Yes. As discussed above, collecting revenues via a customer charge will reduce usage-based energy and/or demand charges. This would be expected to reduce bills for higher usage electric heating customers. This result is supported by bill impact results shown on tab B25_SC12 NONDM Tables in excel workbook DPS_1_80_1_ERP_2 Schedule 5 Exhibit WP provided in response to DPS-1-80 that illustrate that winter bill impacts decline from 20.4% to 13.0% as monthly usage increases from 10 kWh to 6000 kWh, and summer bill impacts decline from 19.9% to 11.5% over the same usage range.

Q. DO YOU SUPPORT THE CUSTOMER CHARGE PROPOSED BY THE COMPANY FOR THE SC12 ENERGY ONLY OPTION?

A. No, it is too low. The current charge for the first 10 kWh is $19.40 in summer and $19.17 in winter. The proposed customer charge is not seasonally differentiated and is $21 per month, which is a modest increase. Furthermore, Exhibit___(DAC-2) Page 117 of 130 Table 6 Page 4 shows that the monthly customer costs for SC12 total $419.48. This indicates there is a cost basis to support increasing the customer charge to further reduce energy charges, which would likely benefit higher usage customers taking service on this rate schedule. This could be implemented during the winter

season only and would likely not lead to customer confusion as the current charge for the first 10 kWh is seasonally differentiated.

Q. WHAT DO YOU RECOMMEND WITH RESPECT TO THE SC12 ENERGY ONLY OPTION?

A. I recommend that the Company be directed to examine increasing the customer charge by reducing the energy charge for the energy-only offering for SC12 Rate I in order to reduce bill impacts for higher usage electric heating customers.

E. <u>SC1 Rate IV Rate Structure Enhancements</u>

Q. DOES THE COMPANY HAVE A RATE OFFERING THAT IS DESIGNED TO REDUCE BILLS FOR CUSTOMERS WITH HEAT PUMPS?

A. Yes. As a result of the 2019 Rate Case, Con Edison adopted a new rate — SC1 Rate IV — available on an opt-in basis to SC1 customers who installed geothermal heat pumps. In the 2022 Rate Case, eligibility requirements for Rate IV were eliminated, making it an optional rate generally available to all residential customers.

Q. HOW MANY CUSTOMERS TAKE SERVICE ON THIS RATE?

A. The Company's March 1, 2023 report related to SC1 Rate IV for Rate Year 3 of the Company's 2020-2022 rate plan that was provided in accordance with Section G(6) of the Joint Proposal approved by the Commission

indicates that as of December 2022 there were 4 customers with geothermal technology and 77 customers that do not have geothermal technology taking service on this rate option.

Q. WHAT IS THE STRUCTURE OF THIS RATE OPTION?

A. SC1 Rate IV has a monthly customer charge and demand charges that are differentiated by season (summer versus winter) and time of use (peak versus off-peak). The on-peak winter demand charges are lower than the on-peak summer demand charges. The off-peak demand charges are the same in both seasons.

Q. IS THIS TYPE OF RATE STRUCTURE GENERALLY EXPECTED TO BE BENEFICIAL FOR RESIDENTIAL CUSTOMERS WITH HEAT PUMPS?

A. Yes. A rate structure with a customer charge and winter demand charges that are lower than summer demand charges is expected to benefit customers with high winter electricity usage.

Q. IS A PRICE GUARANTEE OFFERED?

A. Yes. Special Provision H of SC1 states that a customer operating air source heat pumps or ground source heat pumps who takes service under Rate IV for the first time during the term of the rate plan in Case 22-E-0064 will receive a price guarantee for one year.

Q. HOW DOES THE PRICE GUARANTEE WORK?

A. The price guarantee is limited to (1) new or existing customers operating air source heat pumps or ground source heat pumps; and (2) no more than 500 ground source heat pump customers and no more than 500 air source heat pump Customers. Under the price guarantee, the customer will receive a credit following the first twelve-month period of billing under Rate IV for the difference, if any, between what the Customer paid in excess and what the Customer would have paid under Rate I rates.

Q. IS THERE A PARTICIPATION CAP APPLICABLE TO THE PRICE GUARANTEE?

A. The CES Panel states that the Company proposes to eliminate the current cap of 500 air source heat pump customers and 500 ground source heat pump customers.

Q. DO YOU SUPPORT THE BILL GUARANTEE AND ELIMINATION OF PARTICIPATION CAPS?

A. Yes. The bill guarantee is important because residential customers are typically not familiar with demand charges and therefore may need time to understand how to respond to demand-based price signals. I recommend that the Company's proposals to retain the bill guarantee for SC1 Rate IV and to eliminate participation caps be approved as this will support continued adoption of these technologies.

Q. IS SC1 RATE IV DESIGNED TO BE REVENUE NEUTRAL TO THE

SC1 CLASS?

A. Yes. Tab 10B.)Energy_RateDesign_SC1_I cell L25 in the excel file DPS_1_80_Supp1_4_Rates_RateDesign(RY1) provided in response to DPS-1-80 indicates that the revenue target for SC1 Rate IV is $3.5486 billion. Tab 16J.)OpDmd_R.Dgn_SC1 IV cell K29 indicates that the proposed revenue for SC1 excluding Rider D equals $3.5480 billion.

Q. IS IT REASONABLE THAT THE RATE IS DESIGNED TO COLLECT THE SC1 CLASS REVENUE REQUIREMENT?

A. In this circumstance, yes. The rate is available on an opt-in basis to all customers who are eligible for SC1.

Q. DO YOU HAVE ANY RECOMMENDATIONS REGARDING SC1 RATE IV?

A. Yes, I have two. First, to better enable customers with heat pumps to shift consumption to the less expensive off-peak period, the Company could study implementing a shorter on-peak period during winter season. The on-peak period is currently defined to be weekdays, excluding holidays, from 12 Noon to 8 PM in both summer and winter seasons. A shorter on-peak period could support customers to shift usage into a lower cost off-peak period.

Q. WHAT IS THE SECOND RECOMMENDATION?

A. While the proposed customer charge for SC1 has been set equal to the cost-

based charge indicated in the ECOS (less the cost associated with BPP), the Company could study the feasibility of increasing the customer charge above this figure. This would support bill reductions for higher usage customers taking service on this rate option.

F. Rate Rider Enhancements

Q. ARE THERE OTHER RATE STRUCTURE CHANGES SUPPORTIVE OF ELECTRIFICATION?

A. Yes. In California, Assembly Bill 205 amended the Public Utilities Code to eliminate the requirement that certain charges be recovered on the basis of usage (kWh) and enabled income-graduated fixed charges to mitigate bill impacts for low-income customers. California Public Utilities Commission, or CPUC, Decision 24-05-028 concluded that the following CPUC-jurisdictional electric utility cost categories are fixed costs and may be collected via fixed monthly charges: Marginal Customer Access Costs, Public Purpose Program non-bypassable charges, New System Generation charges, Local Generation charges, and Nuclear Decommissioning non-bypassable charges. This enables Public Purpose Program and other non-bypassable charges that do not vary with usage to be collected as fixed monthly fees rather than per kWh fees. The resulting reduction in usage-based charges is expected to benefit electrification customers.

Q. WHAT COSTS ARE INCLUDED IN CALIFORNIA'S PUBLIC

PURPOSE PROGRAM CHARGES?

A. For electric customers, these charges include but are not limited to the costs of low-income customer subsidies, energy efficiency program costs, and certain clean energy procurement costs.

Q. WHAT ARE YOUR RECOMMENDATIONS?

A. To further support electrification, I recommend that the Company be directed to study the feasibility of collecting via fixed charges the costs for rate riders with underlying costs that do not vary with usage. To mitigate impacts for low-income customers, these charges, as well as any monthly customer charge, could be designed as income graduated fixed charges.

G. Rate Structures Supporting Level 2 Curbside Electric Vehicle Charging

Q. WHAT STEPS HAS THE COMPANY TAKEN TO SUPPORT CURBSIDE ELECTRIC VEHICLE CHARGING?

A. Page 79 of the Company's CET pre-filed direct testimony describes the Curbside Electric Vehicle, or EV, Charging project. Via this program, the Company and its partners, including the New York City Department of Transportation, are operating 118 Level 2 EV chargers across New York City.

Q. DOES THE COMPANY OFFER RATE STRUCTURES SUPPORTIVE OF CURBSIDE EV CHARGING?

A. No. The Company offers a Public DCFC Demand Charge Rebate program. However, Level 2 is not DCFC, so the program does not apply to the curbside chargers. The Company also offers managed charging programs to promote reduced on-peak charging, but curbside charging may not be conducive to managed charging participation. The Company's SC9 rate is available where the Customer's initial requirements are expected to be in excess of 10 kilowatts, which would commonly be the case for at least two Level 2 charge points operating simultaneously.

Q. WHAT IS YOUR UNDERSTANDING OF THE CURBSIDE CHARGERS?

A. I have been advised by the City that each curbside charging site can accommodate between two and six charge points. Therefore, it is likely that at least two of the charge points will be operating simultaneously.

Q. WHY IS IT NOT POSSIBLE TO IMPLEMENT MANAGED CHARGING FOR THESE CHARGING STATIONS?

A. In part, the City is using federal funding to support continuation and expansion of the project. I have been advised by the City that under applicable Federal Highway Administration rules, specifically 23 CFR Part 680, the City must make at least six kilowatts of charging capacity available at each charge point when utilized. Thus, the City cannot prevent or inhibit people from using this level of capacity during peak hours.

Q. HOW IS THE SC9 RATE STRUCTURED?

A. Excluding standby service, there are three SC9 options. Rate I features a customer charge, demand charges that are differentiated by season and tension, and an energy charge that is also differentiated by tension. The Rate I summer demand charge is $42.80 per kW-month for low tension service and $29.50 per kW-month for high tension service. In other months, the demand charges are $33.50 per kW-month and $20.51 per kW-month for low and high tension service, respectively. Rates II and III feature a customer charge, demand charges that are that are differentiated by time, season and tension, and an energy charge.

Q. WHAT IS THE IMPACT OF DEMAND CHARGES ON THE ECONOMICS OF EV CHARGING?

A. When the rate structure features high demand charges, but a charging station is not continually utilized at its maximum capability, the electricity bill for EV charging can be burdensome.

Q. HOW DOES APPLICATION OF THE SC9 RATE AFFECT CURBSIDE CHARGING?

A. I am advised by the City that the curbside chargers are operating at a utilization rate of about 60% of each 24 hour, seven day period, meaning actively delivering energy that percent of the time. Even with this level of utilization, the high SC9 demand charges are making curbside charging

very difficult to justify from an economic perspective and will likely dissuade private investment in these charging resources. Curbside charging stations enable drivers without access to a home charger to charge their electric vehicle at the curb and can support lower system loads through use of Level 2 versus DCFC charging for these vehicles. It is therefore important to ensure that these types of charging stations are economic.

Q. WHAT DO YOU RECOMMEND?

A. On page 39 of the Company's Electric Rates Panel pre-filed direct testimony, the Panel testifies that the Company has been directed to implement EV charging rates to become effective no later than October 17, 2025 and that the Company will make its filing separate from this rate proceeding. I recommend that the Company analyze rate structure alternatives supportive of curbside charging, inclusive of my recommendations above, and propose an alternate rate structure for curbside charging in its October 2025 filing. Recognizing that the Company has no obligation to do so, I also recommend that in this proceeding, the Commission require Con Edison to analyze curbside charging rate alternatives and submit an alternate curbside charging rate structure for Commission approval within 45 days after the date the Commission adopts a new rate plan for Con Edison, in the event the Company declined to address this matter in its October 2025 filing.

CLASS REVENUE RESPONSIBILITY FOR GAS SERVICE

Q. PLEASE DESCRIBE THE COMPANY'S PROPOSED CHANGES TO ITS NATURAL GAS SERVICE CLASSIFICATIONS.

A. Pursuant to the terms of the Joint Proposal in Case 22-G-0065, the Company agreed to establish two separate SC3 rate structures, one for customers with 1-4 dwelling units and the second for customers with more than 4 dwelling units. The GRP Testimony states that the Company's revenue allocation and rate design reflects this separated SC3 class as follows: SC3 Rate I (1-4 dwelling units) and SC3 Rate II (more than 4 dwelling units). SC9 for firm transportation service has also been separated into the Rate I and Rate II equivalents.

Q. DOES THE GAS ECOS RESULT IN CLASSES WITH SURPLUS AND DEFICIENCY AMOUNTS?

A. Yes.

Q. WHAT IS THE MAGNITUDE OF THE SURPLUS AND DEFICIENCY AMOUNTS RELATIVE TO TOTAL OPERATING REVENUES?

A. Exhibit__(Chait-9) shows the Company-proposed surplus and deficiency amounts for each service classification, expressed as a share of total operating revenues. Line 4, which is the revenue surplus share of operating revenues, equals line 2 divided by line 1. Line 5, which is the revenue

deficiency share of operating revenues, equals line 3 divided by line 1. Line 4 shows that the new SC3 Rate II class surplus is 30% of operating revenues and the new SC3 Rate I class deficiency is 45% of operating revenues. In contrast, the surplus share of operating revenues for SC1 and SC2 Rate is 11% and 12%, respectively, and the deficiency share of operating revenues for SC2 Rate II is 4%.

Q. HOW DOES THE COMPANY PROPOSE TO PHASE IN THE SURPLUS AND DEFICIENCY AMOUNTS?

A. The Company proposes to apply one sixth of the class-specific deficiency and surplus indications from the ECOS study in a revenue-neutral manner. This proposal is intended to balance the desire to eliminate the surpluses and deficiencies while considering customer bill impacts.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. I support application of gradualism, however I view increments of one-sixth of adjusted surplus and deficiency amounts to be too minimal for all classes except SC3 Rates I and II due to the magnitude of the surplus and deficiency amounts resulting in these SC3 service classifications.

Q. WHAT DO YOU PROPOSE?

A. Assuming a multi-year rate plan, it would be reasonable to eliminate the revenue surplus for SC1 and SC2 Rate I and the deficiency for SC2 Rate II over a period of three years, in one-third increments in each year. This is

the same phase-in that is proposed for electric service in the instant case.

Q. WHAT DO YOU RECOMMEND FOR SC3 RATES I AND II?

A. I recommend that the longer realignment term of 6 years should be confined to the new SC3 classes which have extremely large deficiency and surplus indications.

Q. IS THE GAS ECOS STUDY REVENUE ALLOCATION IMPACTED BY THE SAME INCOME TAX FACTOR ISSUE DESCRIBED IN THE ELECTRIC CLASS REVENUE RESPONSIBILITY SECTION ABOVE?

A. Yes. In the interest of brevity, I will not restate the argument already described.

Q. WHAT IS YOUR RECOMMENDATION?

A. I recommend that the income tax factor also be eliminated in the gas ECOS study.

GAS RATE DESIGN AND BILL INCREASES

Q. DO YOU SUPPORT THE COMPANY'S PROPOSAL TO LIMIT THE ELIGIBILITY OF THE LOW INCOME PROGRAM RIDER E TO SC3 RATE I?

A. Yes. It is my understanding that in a multi-family building of four units or less, customers must be separately metered. The Company's Customer Operations Panel states that it understands that Energy Affordability

Program ("EAP") discounts should directly benefit residential customers and that the bill discounts for SC3 gas customers with more than four dwelling units will apply to central gas accounts at multifamily buildings rather than to individual tenants. The Company states that it does not have a mechanism to verify whether discounts are to be passed through to tenants via lower rents. As such, the EAP should not be extended to SC3 with greater than four customers.

Q. ARE PROPOSED GAS SERVICE RATE INCREASES FAIRLY APPORTIONED AMONG CUSTOMER CLASSES?

A. Generally, yes. However, Exhibit___(GRP-3) Schedule 3 Page 10 of 11 indicates that the Company's proposed rate design for SC3 Rate II, which is applicable to multifamily buildings with over 4 units, will result in onerous bill impacts for low-usage customers. Customers with a monthly usage of 60 therms will experience bill impacts roughly double the 9.7% class total bill increase indicated in the Summary of Revenue Increase tab in the Exhibit ___(GRP-3) excel workpapers; lower usage customers will experience bill impacts of up to nearly 90%.

Q. DO YOU HAVE RECOMMENDATIONS REGARDING HOW THE IMPACT TO SC3 RATE II CUSTOMERS COULD BE MITIGATED?

A. Yes. While ECOS Table 6, Page 1, Line 14 indicates that monthly customer

costs for the SC3 Rate II class are $348.07, the movement towards this figure must balance individual customer bill impacts. For this class, the Company proposes increasing the monthly charge from $32 per month to $60 per month, an increase of over 87%. I recommend that the company reduce the monthly charge to $45 per month. For consumption from 4-90 therms,91-3000 therms, and over 3000 therms, this monthly charge would increase per therm volumetric rates to $1.7348, $1.4796, and $1.2929, respectively, from $1.7297, $1.4745 and $1.2878. The bill impacts for this proposal are shown in Exhibit__(Chait-10), which shows that bill impacts are dramatically reduced for lower usage customers and are modestly higher for customers with higher usage, versus the Company's proposal.

ELECTRIC AND GAS DEFERRAL AND RECONCILIATION MECHANISMS

Q. WHAT IS A DEFERRAL MECHANISM?

A. A deferral mechanism is an extraordinary form of relief for utilities as it permits recovery of certain expenses beyond the base distribution revenue requirement authorized at the time the expense was incurred. Absent this mechanism, these expenses would otherwise be borne entirely by the utility. Deferred costs are subject to prudency review before they may be included in rates.

Q. WHAT IS A RECONCILIATION MECHANISM?

A. A reconciliation mechanism adjusts revenue to collect the underlying expense.

Q. WHAT ARE YOUR CONCERNS REGARDING THE COMPANY'S DEFERRAL OR RECONCILIATION MECHANISM PROPOSALS?

A. I am concerned with the proliferation of these mechanisms. The Accounting Panel lists over 20 existing deferral mechanisms that the Company proposes to continue. The Company is additionally proposing to modify several existing mechanisms in ways that will benefit the Company and also proposes five new deferral mechanisms.

Q. WHY IS THIS CONCERNING?

A. Deferral and reconciliation mechanisms These mechanisms shift the risk that would ordinarily be borne by the utility onto ratepayers . They should be employed only in extraordinary circumstances. In other words, they should not be the norm.

Q. WHAT TYPES OF COSTS HAS THE COMMISSION AUTHORIZED TO COLLECT VIA THESE MECHANISMS?

A. The Company's Accounting Panel states that the Commission has authorized the Company to employ deferred accounting to match the recognition of expenditures with the recovery of certain costs when they are beyond the Company's direct control and therefore not subject to reasonable estimation, when the timing of the actual expenditure is not certain, or in

furtherance of State and/or Commission policy objectives.

Q. ARE THERE OTHER ASPECTS TO BE CONSIDERED?

A. The Accounting Panel lists its criteria for reconciliation mechanisms which include when costs are significant and/or highly variable, and when reconciliation will protect the interests of customers and investors.

Existing Deferral Mechanisms

Q. DO YOU HAVE A RECOMMENDATION REGARDING THE COMPANY'S PROPOSAL TO CONTINUE ITS EXISTING DEFERRAL AND RECONCILIATION MECHANISMS?

A. Yes. The Company did not present evidence justifying why each of these mechanisms should be continued. I recommend that the Commission scrutinize the existing mechanisms that the Company is not proposing to modify to ensure that the mechanisms continue to be necessary in the 2026-2028 rate period.

Mechanisms Proposed to be Modified

Q. WHAT DEFERRAL OR RECONCILIATION MECHANISMS DOES THE COMPANY PROPOSE TO MODIFY?

A. The Company proposes to modify several deferral or reconciliation mechanisms applicable to electric and gas operations. These include: Net Plant, Interference Capital Expenditures, Property Tax Reconciliation & Refund Sharing, Interference O&M, Energy Efficiency, Long Term Debt,

and Legislative, Regulatory and/or Related Actions.

Q. PLEASE DESCRIBE THE PROPOSED MODIFICATION TO THE NET PLANT MECHANISM.

A. Page 116 of Accounting Panel Testimony states that the Company proposes to continue downward net plant reconciliation if actual electric net plant is below the target set in rates but it proposes to upward reconciliation for incremental New Business costs.

Q. WHAT ARE "NEW BUSINESS" COSTS?

A. The Company discusses these types of distribution investments in the EIOP Testimony on pages 108 through 111. These investments are driven by new residential and commercial load on its system. The Company lists as examples the secondary reinforcement work that occurred in 2023 and 2024, investments driven by winter heat pump loads, and investments driven by electric vehicle charging stations that do not go through the Company's EV Make Ready program.

Q. WHAT JUSTIFICATION DOES THE COMPANY PROVIDE FOR ITS PROPOSAL FOR UPWARD RECONCILIATION OF NEW BUSINESS COSTS?

A. The Accounting Panel states that the Company's ability to add customers could become the constraint to electrification adoption if reconciliation is not authorized.

Q. HOW DOES THE COMPANY PROPOSE TO IDENTIFY THE INVESTMENTS PROPOSED TO BE INCORPORATED IN THE UPWARD ADJUSTMENTS?

A. The Accounting Panel states that the Company will highlight incremental costs that could be eligible for upward reconciliation in its periodic capital reporting.

Q. DO YOU SUPPORT THE COMPANY'S PROPOSAL?

A. No. The Company has not demonstrated that it is not capable of estimating these costs, particularly as it has had recent experience with these types of infrastructure investments.

Q. WHAT DO YOU RECOMMEND?

A. Upward reconciliation should be reserved only for extraordinary circumstances. I recommend that an estimate of New Business costs be included in the target electric net plant figure(s) for the rate period, subject to downward net plant reconciliation if actual electric net plant is below the target set in rates. The downward reconciliation mechanism will protect ratepayers if the Company's estimates exceed actual spend.

Q. WHAT IS THE CURRENT RECONCILIATION FOR INTERFERENCE CAPITAL?

A. The Accounting Panel states that there is limited upward reconciliation of certain municipal infrastructure support (interference) costs.

Q. PLEASE DESCRIBE THE COMPANY'S PROPOSED MODIFICATIONS TO THE INTERFERENCE CAPITAL COST MECHANISM.

A. The Company is proposing full upward reconciliation of interference net plant amounts and proposes to commingle interference net plant with non-interference net plant. Specifically, the Accounting Panel proposes that if actual aggregate net plant including actual interference net plant is at or below the aggregate net plant target, there would be no separate reconciliation of interference net plant. If capital expenditures resulting from qualifying costs above the "forecasted amount" cause the Company to exceed its aggregate net plant target, the Company would be permitted to recover carrying charges on the amount of net plant that exceeds the aggregate net plant target through a surcharge. Page 119 of the Accounting Panel defines carrying charges to be weighted average cost of capital plus depreciation.

Q. DO YOU SUPPORT THE COMPANY'S PROPOSAL TO FULLY RECONCILE INTERFERENCE NET PLANT?

A. No, for three reasons. First, the Company has not demonstrated why the existing treatment of interference costs is inappropriate. Second, I do not support the Company's proposal to commingle interference net plant with aggregate net plant amounts excluding interference capital. Third, I

strongly oppose implementation of a surcharge to recover interference capital amounts.

Q. WHAT DO YOU RECOMMEND?

A. I recommend the continuation of the existing mechanism for recovery of interference capital amounts. However, if the Commission authorizes upward reconciliation of interference net plant, I have two recommendations. First, interference net plant should be separately reconciled, otherwise under-spending of net plant amounts could obscure interference capital spend. Second, in no circumstances should a surcharge be implemented to recover any interference capital amounts. As discussed below, implementation of such a surcharge does not appear to be required to conform to generally accepted accounting principles ("GAAP").

Q. PLEASE DESCRIBE THE EXISTING LEGISLATIVE, REGULATORY AND/OR RELATED ACTIONS MECHANISM.

A. The Accounting Panel states the current plan provides that the Company may defer annual electric or gas revenues, costs, or expenses resulting from laws, rules, regulations, orders or other requirements or interpretations of law if (1) the amounts were not anticipated in the forecasts, and (2) the assumptions on which rates are based equate to at least ten basis points of return on common equity.

Q. WHAT IS THE COMPANY PROPOSING?

A. The Company is proposing three changes. First, the Company is proposing to clarify that the above provision applies to changes in net plant. The Accounting Panel states that the Company interprets "costs" as separate from "expenses" and interprets "costs" to mean the revenue requirement impact of capital expenditures (*i.e.*, net plant). It asserts that the deferral language later in the provision contains an oversight and limits the associated deferral to a "change in expense or revenues." The Company is therefore proposing to include language that it may accrue carrying charges on incremental net plant that stems from a change in law and proposes that the net plant accrual be subject to the 10-basis point "new laws" threshold.

Q. DO YOU SUPPORT THE COMPANY'S INTERPRETATION OF LANGUAGE IN THE CURRENT PLAN?

A. No. It is not certain that the omission of "costs" in the language later in the provision was an oversight. Furthermore, the term "costs" means the amount paid or charged for a purchase. It is not defined to be the revenue requirement impact of net plant.

Q. WHAT IS THE SECOND CHANGE?

A. The Company is proposing to align the "new laws" accrual/deferral with the existing net plant mechanism. The Company is proposing to record the incremental carrying charge on the net plant balance for electric and gas that exceeds the aggregate net plant targets due to the impact of new laws.

Q. DO YOU SUPPORT THE COMPANY'S PROPOSAL TO RECORD CARRYING CHARGES ON INCREMENTAL NET PLANT STEMMING FROM THE CHANGE-IN-LAW PROVISION?

A. No. The language in the existing "new laws" provision does not appear to allow for the ability to defer "incremental net plant that stems from a change in law" let alone allow for recording of "carrying charges." If the Commission authorizes such deferral amounts to be collected, any carrying charges should be assessed during the recovery period.

Q. WHAT IS THE THIRD CHANGE?

A. The Company proposes surcharge recovery for this accrual, consistent with its proposed recovery mechanism for its proposed Electric and Gas Net Plant exceedances described above. The company asserts that a surcharge mechanism is necessary to avoid any potential issues with appropriately recognizing the Company's accruals/deferrals under GAAP rules. The Accounting Panel states that to be consistent with GAAP rules, revenue accruals require a recovery mechanism that provides for full revenue recovery within 24 months of the deferral to be recognized. To avoid any potential issues with appropriately recognizing the Company's accruals/deferrals on its financial statements, the Company proposes a shorter, 18-month recovery period.

Q. WHY IS THE CHANGE PROPOSED NOW?

A. The Company's response to DPS-28-680 question 4 states that the economic and political situation at the time of the 2022 rate case filing was such that the Company did not expect this level of capital risk.

Q. DO YOU SUPPORT THE PROPOSAL TO COLLECT NET PLANT CARRYING COSTS VIA A SURCHARGE?

A. No, I do not. The Company's response to DPS-28-680 question 1 references FASB ASC 980-605-25-4. This regulation relates to alternative revenue programs. Paragraph 980-605-25-2 listed on the FASB website, found at https://asc.fasb.org, states that Type A programs adjust billings for the effects of weather abnormalities or broad external factors or to compensate the utility for demand-side management initiatives (for example, no-growth plans and similar conservation efforts). Type B programs provide for additional billings (incentive awards) if the utility achieves certain objectives, such as reducing costs, reaching specified milestones, or demonstratively improving customer service.

The Accounting Panel in pages 125 and 126 supports this interpretation. It states "First, the Company is seeking to be more precise in the deferral language and specify the deferral/accrual of revenues is for surcharge recovery within 18 months. Under Generally Accepted Accounting Principles, different treatment is afforded to deferrals/accruals of costs and expenses than deferrals of revenues. Revenue accruals require

a recovery mechanism that provide for full revenue recovery within 24 months of the deferral to be recognized. Thus, to be consistent with GAAP rules, sur- credit/surcharge mechanisms should be utilized for revenues unless recovery is imminent." It is clear that the 24-month recovery period relates to revenue rather than cost deferrals. Therefore, this guidance does not appear to be applicable to cost deferral mechanisms such as net plant amounts driven by changes in law and a surcharge mechanism is therefore not necessary.

Q. PLEASE DESCRIBE THE COMPANY'S PROPOSAL TO MODIFY THE INTERFERENCE O&M RECONCILIATION MECHANISM.

A. Currently, there is a full downward reconciliation of actual expense below the target. For amounts other than Company labor, the variation between actual O&M expenses and O&M costs in rates is reconciled within a band of fifteen percent above target and shared on an 80/20 basis between customers and the Company. The Company is proposing to replace this mechanism with a full and symmetrical reconciliation mechanism. The Company justifies this proposal because it asserts that it will protect the Company and customers from any windfalls resulting from deviations from current cost projections, at the expense of the other.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. No. I support continuation of the existing mechanism. Customers are

protected from a Company windfall via the existing full downward reconciliation and are cushioned from cost over-runs via the 80/20 sharing mechanism within the 15% band.

Q. DO YOU HAVE ANY OTHER RECOMMENDATIONS REGARDING THE PROPOSED MODIFICATIONS TO THE EXISTING OR RECONCILIATION MECHANISMS?

A. Yes. I recommend that if these modifications are authorized, the Company's return on equity should be reduced to reflect reduced risk borne by the Company's shareholders.

New Proposed Mechanisms

Q. WHAT ARE THE PROPOSED NEW DEFERRAL OR RECONCILIATION MECHANISMS THAT THE COMPANY IS PROPOSING?

A. These mechanisms relate to the Affordable Multifamily Electrification Pilot costs, Sulfur Hexafluoride Standards costs, New York City Revocable Consent Fees, Wildfire Response costs, and Management Audit Costs.

Q. WHAT DOES THE COMPANY PROPOSE REGARDING THE AFFORDABLE MULTIFAMILY ELECTRIFICATION PILOT?

A. The Clean Energy Transition Panel states on page 33 of its pre-filed direct testimony that the Company proposes to design and implement an Affordable Multifamily Electrification Pilot that will provide bill credits to

tenants in naturally occurring affordable housing ("NOAH") to mitigate the cost shift that occurs when their buildings move from centralized fossil heating to decentralized in-unit heat pump systems tied to tenant meters.

Q. WHAT COSTS IS THE COMPANY PROPOSING TO INCLUDE IN THIS DEFERRAL ACCOUNTING MECHANISM?

A. The Clean Energy Transition Panel states that the Company proposes to defer for collection in the next rate period the costs associated with bill credits issued to participating customers. The Clean Energy Transition Panel also lists O&M costs of $1.2 million but does not state whether these costs are proposed to be deferred.

Q. DO YOU SUPPORT THE GOALS AND GENERAL CONCEPT OF THE PROPOSED PILOT PROGRAM?

A. Yes. From a policy perspective this is an important pilot program that will benefit vulnerable customers living in NOAH and enable them to electrify their heating source. However, the program needs more development regarding its framework and guardrails.

Q. DO YOU SUPPORT IMPLEMENTATION OF THE DEFERRAL MECHANISM AS PROPOSED?

A. No. The Company has not demonstrated that these costs are likely to be substantial. However, if the Commission authorizes the deferral mechanism, I recommend the inclusion of four guardrails. First, the term

over which the bill credits will be issued during this pilot program phase must be specified and in any event should not exceed the 2026-2028 rate period, as that is the revenue requirement before the Commission at this time. Second, a cap must be established for the total bill credits that may be paid under this pilot program. Third, the pilot program deferral mechanism should not be allowed to be continued beyond the 2026-2028 rate period. Fourth, the Company should clarify that O&M costs will not be included in the deferral mechanism.

Q. WHAT DOES THE COMPANY PROPOSE REGARDING SULFUR HEXAFLUORIDE STANDARDS COSTS?

A. The Accounting Panel states that the New York State Department of Environmental Conservation adopted a rule at the end of 2024 that phases out gas-insulated equipment containing sulfur hexafluoride. The Company states that because it has not had enough time to fully analyze the cost impacts and incorporate forecasts into its electric revenue requirement, the Company proposes to defer incremental compliance costs for recovery in its next base rate case.

Q. DO YOU SUPPORT CREATION OF THIS ACCOUNTING DEFERRAL MECHANISM?

A. No. The Company not having had enough time to perform this analysis is not a sufficient justification for implementing a deferral mechanism. The

Company is responsible for performing its due diligence.

Q. WHAT DOES THE COMPANY PROPOSE REGARDING THE NEW YORK CITY REVOCABLE CONSENT FEES?

A. The Accounting Panel states that New York City has recently begun requiring revocable consents for utility installations in City locations outside of traditional rights-of-way. The Company states that New York City has not indicated the scope of implementation, and therefore the Company is unable to fully analyze cost impacts and incorporate forecasts into its revenue requirements. Because of this, the Company proposes to defer incremental compliance costs for recovery in its next electric and gas base rate cases.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. No. Not enough information is known about these costs to establish whether a deferral mechanism is warranted.

Q. WHAT DOES THE COMPANY PROPOSE REGARDING WILDFIRE RESPONSE COSTS?

A. The Accounting Panel states that because wildfire risk is becoming a pressing challenge for many utilities whose facilities are in areas increasingly vulnerable to drought, the Company is proposing to establish a deferral for incremental costs incurred to respond to wildfire events.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. No. The Company has not provided any evidence that such a mechanism is applicable or necessary. The Company should learn from the wildfire experiences it has had over the past years and make its best determination regarding potential future impacts.

Q. WHAT DOES THE COMPANY PROPOSE REGARDING MANAGEMENT AUDIT COSTS?

A. The Accounting Panel states that Management Audits are required by the Public Service Law. The Company asserts that it cannot adequately forecast such costs in base rate cases because of a timing mismatch between audits and rate cases and because audit costs can vary depending on factors such as scope and the market rate for consultants at the time of the contract. The Company proposes to establish a deferral mechanism for these costs.

Q. DO YOU SUPPORT THIS PROPOSED DEFERRAL MECHANISM?

A. No. These costs are not extraordinary. They are routinely incurred, are within the company's control and are subject to reasonable estimation. They should therefore be collected via base rates.

Q. DO YOU HAVE ANY OTHER RECOMMENDATIONS REGARDING THE PROPOSED NEW DEFERRAL MECHANISMS?

A. Yes. I recommend that if these mechanisms are authorized, the Company's return on equity and equity share of capital structure should be reduced to

reflect reduced risk borne by the Company's shareholders.

Q. DOES THIS CONCLUDE YOUR TESTIMONY AT THIS TIME?

A. Yes.